

CORPORATE GOVERNANCE REPORT

Mindteck (India) Limited ('Mindteck' or 'the Company') is committed to ethical corporate practices based on conscience, openness, fairness, professionalism and accountability, for the benefit of its stakeholders and for long-term success. At Mindteck, we believe in maintaining the highest standards of corporate governance, not only in form but also in substance.

Over the years, our Company has ensured compliance of statutory requirements and effective governance systems and practices, and has worked towards transparency, disclosures, internal controls and promotion of ethics within the Company. The corporate governance philosophy of the Company has been further strengthened by the adoption of the Code of Business Conduct and Ethics Policy, Whistle Blower Policy, Human Rights and Labor Policy, Confidential information and IP Protection Policy and Procedure, Code of Conduct for Prohibition of Insider Trading, etc.

We comply with Clause 49 of the Listing Agreement and substantially comply with the Corporate Governance Voluntary Guidelines. In accordance with Clause 49 of the Listing Agreement with the Bombay Stock Exchange (BSE) in India, a report containing the details of the governance system and processes at the Company is as under:

I COMPANY'S PHILOSOPHY ON CODE OF CORPORATE GOVERNANCE

The Company's philosophy on Corporate Governance envisages attainment of the highest levels of transparency, accountability and equity in all facets of its operations and in all its transactions with its stakeholders, including its employees, customers, shareholders, vendors, supporting agencies, Government, and society at large.

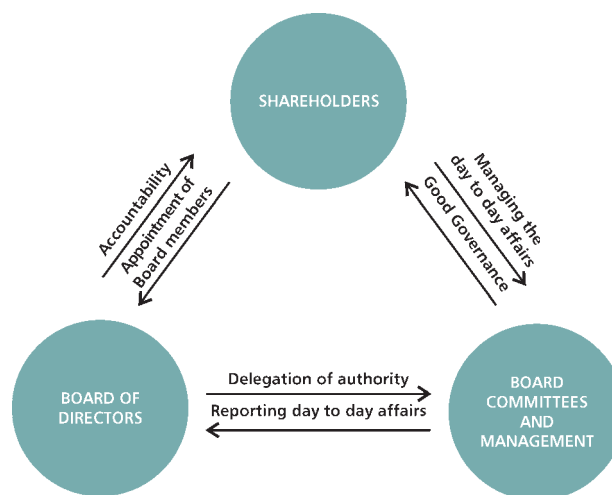
The Management aims to achieve its objective of increasing stakeholder's value while consistently observing the norms laid down in the Code of Corporate Governance. The Management has institutionalized Corporate Governance at all levels within the Company in order to ensure transparency, good practices and a systems-driven style of functioning.

The overall responsibility for guiding Corporate Governance within the Company rests with the Board of Directors ('the Board'), which has put in place appropriate policies, guidelines, etc. The day-to-day implementation and monitoring of these policies and guidelines rest with the management of the Company. These policies are in consonance with the requirements of the Listing Agreement and applicable SEBI Regulations. Keeping in view the Company's size, complexity, global operations and corporate traditions, Mindteck has adopted the following main principles and philosophies:

- (i) Constitution of the Board of the Company and a Corporate Governance Committee with members of appropriate composition, size and expertise.
- (ii) Complete transparency in our operations.

- (iii) Maintaining prescribed levels of disclosure and complete openness in communication.
- (iv) Independent verification and safeguarding integrity of the Company's financial reporting.
- (v) A sound system of risk management and internal control.
- (vi) Timely and balanced disclosure of all material information concerning the Company to its stakeholders.
- (vii) A system to ensure compliance with applicable laws of all countries in which we operate.
- (viii) Maintain high standards of safety and health.
- (ix) Adhere to good governance practices in spirit and not just in letter.

II THE GOVERNANCE STRUCTURE AT MINDTECK



The governance mechanism adopted at Mindteck:

- (i) The Board is appointed by the shareholders and is vested with responsibility of conducting the affairs of the Company with the objective of maximization of returns to all stakeholders.
- (ii) The Board of Directors is responsible for the overall vision, strategy and good governance of the Company. The Board and Committees ensure accountability and transparency in the affairs of the Company to the Stakeholders by directing and controlling the management activities.
- (iii) The Managing Director & CEO and Senior Management are responsible for setting up of business targets and day-to-day management of the Company in line with the objectives and principles set by the Board.

A. GOVERNANCE BY THE BOARD OF DIRECTORS

Composition:

The Board of Directors ('the Board') is at the core of our corporate governance practice and oversees how the

Management serves and protects the long-term interests of all our stakeholders. The Company's Board has an optimum combination of Executive, Non-Executive and Independent Directors with considerable experience in their respective fields to maintain the independence of the Board and to separate the functions of the Board from the management of the Company. As a matter of good Corporate Governance, to promote balance of power and as suggested in the Voluntary Corporate Governance Guidelines, we have segregated the offices of Chairman and Chief Executive Officer. There is a clear demarcation in the roles and responsibilities of the Chairman of the Board and that of the Managing Director and CEO.

As at March 31, 2013 the Company had four Directors, of

which three Directors are Non-Executive and Independent, as defined in Clause 49 of the Listing Agreement. The Managing Director and CEO manages the day-to-day affairs of the Company. The Board believes that its current size is appropriate based on the present circumstances. The Board periodically evaluates the need for change in its composition and size.

None of the Directors on the Board hold directorships more than the statutory maximum limit as prescribed under the Act, Clause 49 of the Listing Agreement and the Voluntary Corporate Governance Guidelines; thus, none of the Directors on the Board are members of more than ten Committees or act as Chairman of more than five Committees across all companies in which they are Directors.

The names and categories of the Directors on the Board, directorships and shareholdings are given below:

Director	Designation and Category	Age	Equity Shareholding	No. of Directorship*		Committees	
				Public	Private	Chairman	Member
Mr. Wayne Berkowitz ⁽¹⁾	Managing Director and CEO	53	Nil	-	-	-	-
Mr. Yusuf Lanewala ⁽²⁾	Independent, Non-Executive Director	59	Nil	-	1	-	-
Mr. Indresh Narain ⁽³⁾	Independent, Non-Executive Director	68	Nil	3	-	2	1
Mr. Javed Gaya	Independent, Non-Executive Director	57	Nil	1	7	1	-
Mr. Narayan A. Menon	Independent, Non-Executive Director	64	Nil	-	-	-	-
Mr. Jagdish Malkani ⁽⁴⁾	Independent, Non-Executive Director	57	NIL	-	2	-	-

* Excluding Directorship in Mindteck (India) Limited and Directorship in Foreign Companies.

(1) Resigned as Managing Director and CEO w.e.f. June 11, 2013.

(2) Appointed as Additional Director w.e.f. February 13, 2013 and later appointed as Managing Director and Group CEO w.e.f. June 11, 2013 subject to the approval of the shareholders at the Annual General Meeting, 2013.

(3) Resigned as Director w.e.f. November 09, 2012.

(4) Appointed as Non-Executive Independent Director w.e.f. August 08, 2013.

All the Independent Directors furnish to the Company a declaration at the time of their appointment that they qualify the test of Independence as laid down in Clause 49 of the Listing Agreement and certify annually regarding their independence. The process of selection of Independent Directors is rigorous, transparent and objective and is aligned with the needs of the Company. None of the Non-Executive/Independent Directors have any material pecuniary relationship or transactions with the Company. None of Non-Executive/Independent Directors served on the Board of our company for more than nine years.

Board Definition of Independent Directors:

The Company has defined the independence as stipulated under Clause 49 of the Listing Agreement. Accordingly, an Independent Director means a person who is not an officer or employee of the Company or its subsidiaries or any other individual having a material pecuniary relationship or transactions with the Company which, in the opinion of our Board of Directors, would interfere with the exercise of independent judgment in carrying out the responsibilities of a Director.

Board Meetings:

The Board meets once in a quarter and additionally as and when required. The calendar of the Board meetings is decided in consultation with the Board and the schedule of meetings is communicated to all Directors in advance to enable them to schedule their effective participation during the Board meetings. The items in the Agenda are backed by comprehensive background information to enable the Board to take appropriate decisions. In addition to the information required under Annexure IA to Clause 49 of the Listing Agreement, the Board is also kept informed of major events/items and approvals taken wherever necessary.

The Board met four times in the financial year 2012-2013 – May 05, 2012, August 07, 2012, November 08, 2012 and February 13, 2013.

Remuneration:

During the year 2012-2013, no remuneration or sitting fee was paid to the Managing Director and CEO. The Company paid sitting fees of Rs 20,000 per meeting to its Non-Executive Directors for attending meetings of the Board and Rs 10,000 for attending Committee meetings.

Details of attendance of the Directors and sitting fees paid to them are as follows:

Name of the Director	No. of Board Meetings during 2012-13		Whether attended last AGM held on August 07, 2012	Sitting fees for Board and Committee meetings (in Rs.)
	Held	Attended		
Mr. Wayne Berkowitz ⁽¹⁾	4	4	Yes	Nil
Mr. Yusuf Lanewala ⁽²⁾	4	1	No	30,000
Mr. Indresh Narain ⁽³⁾	4	3	Yes	120,000
Mr. Javed Gaya	4	3	Yes	130,000
Mr. Narayan A. Menon	4	4	Yes	160,000
Mr. Jagdish Malkani ⁽⁴⁾	4	-	-	Nil

(1) Resigned as Managing Director and CEO w.e.f. June 11, 2013

(2) Appointed as Additional Director w.e.f. February 13, 2013 and later appointed as Managing Director and Group CEO w.e.f. June 11, 2013 subject to the approval of the shareholders at the Annual General Meeting, 2013.

(3) Resigned as Director w.e.f. November 09, 2012.

(4) Appointed as Non-Executive Independent Director w.e.f. August 08, 2013.

Non-Executive/Independent Directors' remuneration:

The members at the Annual General Meeting of the Company on August 11, 2010, approved the payment of commission to the Non-Executive Directors within the ceiling of 1% of the net profits of the Company as computed under the applicable provisions of the Companies Act, 1956. The amount of the said commission will be decided each year by the Board of Directors and distributed amongst the Non-Executive Directors. However, no commission was paid to Non-Executive/Independent Directors of the Company during the current year. The Company also reimburses the out-of-pocket expenses incurred by the Directors for attending the Meetings.

Shares and options held by Non-Executive/Independent Directors:

None of the Non-Executive/Independent Directors hold shares or options in the Company.

Remuneration to Executive Directors

The Company did not pay any remuneration to the Executive Directors. Mr. Wayne Berkowitz, Managing Director and CEO (w.e.f. February 06, 2012) was drawing salary from the Company's wholly owned subsidiary in the US, Mindteck, Inc.

Mr. Yusuf Lanewala was appointed as Managing Director and Group CEO w.e.f. June 11, 2013 and remuneration was approved by the Board of Directors and subject to the approval of shareholders at the Annual General Meeting.

Proceedings of Board Meetings:

The agenda items for the Board meetings are decided in advance in consultations with heads of various functions and the Managing Director and Group CEO. Every Board member can suggest additional items for inclusion in the agenda. Managers who can provide additional insights into the items discussed in the Board Meetings are also invited for the Board Meetings. The decisions taken at the Board Meetings are promptly communicated to all concerned departments for the completion of the action items arising out of the

deliberations of the meeting. Report on the action items are placed before the Board at its succeeding meeting.

Information and updates to Board of Directors:

- Annual operating plans and budgets, including capital budgets and any updates.
- Quarterly results for the Company and its operating divisions or business segments and monthly MIS information of the key operational parameters of the Company.
- Minutes of meetings of audit committee, other committees of the Board and subsidiaries.
- The information on recruitment and remuneration of senior officers
- Show cause, demand, prosecution notices and penalty notices, which are materially important, if any.
- Fatal or serious accidents, dangerous occurrences, any material effluent or pollution problems, if any.
- Any material default in financial obligations to and by the Company, or substantial non-payment for services rendered by the Company, if any.
- Any issue, which involves possible public or product liability claims of substantial nature, including any judgment or order which may have passed strictures on the conduct of the Company or taken an adverse view regarding another enterprise that can have negative implications on the Company, if any.
- Details of any joint venture or collaboration agreement or acquisition, if any.
- Transactions that involve substantial payment towards goodwill, brand equity or intellectual property, if any.
- Significant labor problems and their proposed solutions. Any significant developments on the Human Resources/ Industrial Relations front like signing of wage agreements, implementation of Voluntary Retirement Scheme, etc., if any.

- Sale of material nature, of investments, subsidiaries, assets, which is not in normal course of business, if any.
- Quarterly details of foreign exchange exposures and the steps taken by management to limit the risks of adverse exchange rate movement, if material.
- Non-compliance with or violations of any regulatory, statutory or listing requirements and shareholders service such as non-payment of Dividend or delay in share transfers, etc., if any.

All the information to be provided to the Board as per Annexure-1A of Clause 49 of the Listing Agreement have been made available to the Board. The Company's Board reviews and takes on record the statutory compliance reports submitted by the Company's Management on a quarterly basis. In case of business exigencies, resolutions of the Board are passed by circulation.

Recording minutes of proceedings at Board and Committee Meetings:

The Company Secretary records the Minutes of the proceedings of each Board and Committee Meetings. Draft minutes are circulated to all the members of the Board/Committee Meetings for their comments. The minutes are entered in the Minutes book immediately on approval and signed.

Post meeting follow up mechanism:

The important decisions taken at the Board/Committee meetings are communicated promptly to the concerned departments/divisions. An Action Report on the decisions/minutes of the previous meeting(s) is placed at the following meeting of the Board/Committee for noting and taking on record. Thus, an effective post meeting follow up, review and reporting of the decisions taken at the Board/Committee meetings is ensured.

B. GOVERNANCE BY SUB-COMMITTEES OF THE BOARD OF DIRECTORS

Your Company has the following committees of Board of Directors:

- (i) Audit Committee
- (ii) HR and Compensation Committee
- (iii) Shareholders/Investors Grievance Committee
- (iv) Corporate Governance Committee.

(i) Audit Committee

The Company's Board has constituted an Audit Committee pursuant to the provisions of the Companies Act, which has all the necessary features as required by the Listing Agreement.

(a) Composition:

Indresh Narain ⁽¹⁾	- Chairman (Independent Director)
Narayan A. Menon ⁽²⁾	- Member (Independent Director)
Javed Gaya	- Member (Independent Director)
Wayne Berkowitz ⁽³⁾	- Member (Managing Director and CEO)
Yusuf Lanewala ⁽⁴⁾	- Member (Independent Director)

- (1) Resigned as Director w.e.f. November 09, 2012.
- (2) Appointed as Chairman of the Committee w.e.f. November 08, 2012.
- (3) Appointed as Member of the Committee w.e.f. February 09, 2013 and resigned as Director w.e.f. June 11, 2013.
- (4) Appointed as Member of the Committee w.e.f. February 13, 2013.

Mrs. Usha TN, Company Secretary, acted as Secretary for all the Audit Committee meetings held in 2012-13 and Mr. Shivarama Adiga S., Company Secretary, acted as the Secretary of the Audit Committee for the meetings held thereafter.

(b) Objective/Powers: Powers of the Audit Committee include:

- (i) To investigate any activity within its responsibilities.
- (ii) To have independent back office support and other resources from the company.
- (iii) To have access to information contained in the records of the Company or from any employee.
- (iv) To obtain legal or professional advice from external sources.
- (v) To have the facility of separate discussions with both internal and external auditors as well as the management.
- (vi) To secure attendance of outsiders with relevant expertise, if it considers necessary.

(c) Roles and Responsibilities:

- (i) Recommend the appointment, re-appointment and removal of external auditor and internal auditor, approve terms of engagement, including fixation of audit fee, and also approve the payment for any other services. The Committee shall review and monitor the external auditor's independence and objectivity and the effectiveness of the audit process.
- (ii) Review financial reporting process and the disclosure of financial information of the Company as well as subsidiaries to ensure that the financial statement is correct, sufficient and credible. Also monitor the integrity of the financial statements of the Company.
- (iii) Review, with management, the quarterly and annual financial statements before submission to the Board, focusing primarily on:
 - Any changes in accounting policies and practices and reasons for the same.
 - Major accounting entries based on exercise of judgment by management.
 - Qualifications in draft audit report.
 - Significant adjustments arising out of audit.
 - The going concern assumption.
 - Compliance with accounting standards.

- Compliance with Stock Exchange and legal requirements concerning financial statements.
 - Management discussion and analysis of financial conditions and results of operations.
 - Directors' responsibility statement.
- (iv) Review, with management, the statement of uses/ application of funds raised through an issue (i.e. public issue, rights issue, preferential issue, etc.), the statement of funds utilized for the purposes other than those stated in the offer documents/ prospectus/notice and the report submitted by the monitoring agency which monitors the utilization of proceeds of the public/rights issue as well as recommend to the Board the steps to be taken in this regard.
- (v) Review the adequacy of internal control systems and review internal audit reports, management letters relating to internal control weaknesses, if any.
- (vi) Review the adequacy of internal audit function, including the structure of the internal audit department, staffing and seniority of the official heading the department, reporting structure coverage and frequency of internal audit.
- (vii) Discussion, review and follow up on the findings of any internal investigations by the internal auditors into matters where there is suspected fraud or irregularity or a failure of internal control systems of a material nature including management override of internal controls and financial irregularities involving management team members.
- (viii) Discussions with external auditors before the audit commences about the nature and scope of audit, as well as have post-audit discussions to ascertain any areas of concern.
- (ix) Review the Company's financial and risk management policies and systems. Assist executive management to identify the risk impacting the Company's business and document the process of risk identification, risk minimization and risk optimization as a part of risk management policy.
- (x) Look into the reasons for substantial defaults in the payment to depositors, debenture holders, shareholders (in case of non-payment of declared dividends) and creditors, and monitor utilization of funds raised through public and preferential issues.
- (xi) Review the functioning of the Whistle Blower mechanism established in the Company.
- (xii) Approve the appointment of the CFO (i.e., the whole-time Finance Director or any other person heading the finance function or discharging that function) after assessing his/her qualifications, experience and background.

(xiii) Monitor and approve all Related Party Transactions including any modification/amendment, with promoters or the management, their subsidiaries or relatives, etc. that may have potential conflict with the interests of Company at large and periodically review the minutes of subsidiary companies.

(xiv) Any other matter referred to the Audit committee by the Board of Directors of the Company.

(d) Meetings: The Audit Committee meeting was conducted four times during the year – May 04, 2012, August 06, 2012, November 08, 2012 and February 13, 2013. The approved minutes of the meetings were placed before the Board at the succeeding Board Meeting for information. The quorum of the Committee is two members or one-third of its members, whichever is higher. Quorum was present at all the meetings.

Attendance Record in Audit Committee Meetings held during the year, are given below:

Table No. 03 Members	No of meetings	
	Held	Attended
Mr. Indresh Narain, Chairman ⁽¹⁾	4	3
Mr. Narayan A. Menon ⁽²⁾	4	4
Mr. Javed Gaya	4	3
Mr. Wayne Berkowitz ⁽³⁾	4	1
Mr. Yusuf Lanewala ⁽⁴⁾	4	0

(1) Resigned as Director w.e.f. November 09, 2012.

(2) Appointed as Chairman of the Committee w.e.f. November 08, 2012.

(3) Appointed as Member of the Committee w.e.f. February 09, 2013 and resigned as Director w.e.f. June 11, 2013.

(4) Appointed as Member of the Committee w.e.f. February 13, 2013.

(ii) HR and Compensation Committee

(a) Composition:

Narayan A. Menon - Chairman (Independent Director)
 Javed Gaya - Member (Independent Director)
 Wayne Berkowitz ⁽¹⁾ - Member (Managing Director and CEO)
 Yusuf Lanewala ⁽²⁾ - Member (Independent Director)

(1) Appointed as Member of the Committee w.e.f. May 05, 2012 and resigned as Director w.e.f. June 11, 2013.

(2) Appointed as Member of the Committee w.e.f. February 13, 2013.

(b) Powers/Roles: The terms of reference of the HR and Compensation Committee include the following:

- (i) To decide on all matters relating to the Company's stock option/share purchase schemes including the

grant of options/shares to the Directors and employees of the Company and/or of its subsidiaries.

- (ii) To determine and make suitable recommendations to the Board in all matters relating to qualification, appointment, evaluation and remuneration of the Non-Executive Directors of the Board, Executive Directors of the Company and its managerial personnel under the Companies Act, 1956.
- (iii) To review performance and determine the remuneration payable to Executive Directors.
- (iv) Establishment and administration of employee compensation and benefit plans.
- (v) To decide and make suitable recommendations to the Board on any other matter that the Board may entrust the Committee with or as may be required by any statutes/regulations/guidelines/listing agreements, etc.

As the HR & Compensation Committee is responsible for all the objectives of the Nomination Committee as suggested under Voluntary Corporate Governance Guidelines, no separate Nomination Committee has been constituted by the Company.

(c) Meetings: The Committee held two meetings during the year – May 05, 2012 and November 08, 2012.

Attendance Record in HR & Compensation Committee meetings held during the year, are as follows:

Table No. 04 Members	No of meetings	
	Held	Attended
Mr. Narayan A. Menon, Chairman	2	2
Mr. Javed Gaya	2	1
Mr. Wayne Berkowitz ⁽¹⁾	2	2
Mr. Yusuf Lanewala ⁽²⁾	2	-

1) Appointed as Member of the Committee w.e.f. May 05, 2012 and resigned as Director w.e.f. June 11, 2013.

(2) Appointed as Member of the Committee w.e.f. February 13, 2013.

(iii) Shareholders/Investors Grievance Committee

(a) Composition: The Shareholders/Investors Grievance Committee was formed to undertake the responsibilities of redressing shareholder and investor complaints

pertaining to transfer of shares, non-receipt of Balance Sheet, non-receipt of declared Dividend, etc.

Javed Gaya - Chairman (Independent Director)
 Indresh Narain⁽¹⁾ - Member (Independent Director)
 Narayan A. Menon⁽²⁾ - Member (Independent Director)
 Yusuf Lanewala⁽³⁾ - Member (Independent Director)

(1) Resigned as Director w.e.f. November 09, 2012.

(2) Appointed as Member of the Committee w.e.f. November 08, 2012.

(3) Appointed as Member of the Committee w.e.f. February 13, 2013.

Mr. Shivarama Adiga S., Company Secretary, acts as the Chief Compliance Officer.

(b) Objective/Powers: The Shareholders/Investors Grievance Committee approves the transfer of shares, issue of duplicate share certificates, etc. The Committee also oversees redressal of the shareholders' grievances/complaints and compliance with the SEBI (Prohibition of Insider Trading) Regulations, 1992. Further, the Committee has delegated the power of transfer of shares to the Company Secretary and to M/s. Universal Capital Securities Pvt. Ltd, the Company's Registrars and Share Transfer agents, to attend to share transfers generally once in 15 days, which are validated by the Committee.

(c) Meetings: The Committee met four times during the year – May 05, 2012, August 07, 2012, November 08, 2012 and February 13, 2013. The minutes of the meetings were placed before the Board at the following Board Meeting for information. Quorum was present at all the meetings.

Attendance Record in Shareholders/Investors Grievances Committee Meetings held during the year, are as follows:

Table No. 06 Members	No of meetings	
	Held	Attended
Mr. Javed Gaya, Chairman	4	3
Mr. Indresh Narain ⁽¹⁾	4	3
Mr. Narayan A. Menon ⁽²⁾	4	2
Mr. Yusuf Lanewala ⁽³⁾	4	1

1) Resigned as Director w.e.f. November 09, 2012.

(2) Appointed as Member of the Committee w.e.f. November 08, 2012.

(3) Appointed as Member of the Committee w.e.f. February 13, 2013.

Report of Investor Complaints received and disposed of during year ended March 31, 2013:

Table No. 05	No. of cases outstanding as on April 01, 2012	No. of cases added during the year	No. of cases resolved during the year	No. of cases outstanding as on March 31, 2013
No. of Investor issues	Nil	Nil	Nil	Nil
No. of legal cases	Nil	Nil	Nil	Nil

There were no outstanding complaints pending for more than 15 days. There were no cases which were not solved to the satisfaction of the shareholders.

(iv) Corporate Governance Committee

(a) Composition:

- Indresh Narain⁽¹⁾ - Chairman (Independent Director)
Wayne Berkowitz⁽²⁾ - Member (Managing Director and CEO)
Yusuf Lanewala⁽³⁾ - Member (Independent Director)
Narayan A. Menon⁽⁴⁾ - Member (Independent Director)
Jagdish Malkani⁽⁵⁾ - Member (Independent Director)

- (1) Resigned as Director w.e.f. November 09, 2012.
(2) Appointed as Member of the Committee w.e.f. May 05, 2012 and resigned as Director w.e.f. June 11, 2013.
(3) Appointed as Member of the Committee w.e.f. February 13, 2013.
(4) Appointed as Member of the Committee w.e.f. August 08, 2013.
(5) Appointed as Non-Executive Independent Director w.e.f. August 08, 2013.

(b) Objective: The objective of the Committee is to ensure excellence in governance, foster exemplary standards of business conduct, and aim to achieve highest levels of transparency, accountability and equity in all facets of operations and transactions in pursuit of increased value to stakeholders.

(c) Terms of reference of the Corporate Governance Committee:

- (i) Review Board/Corporate Codes and make suitable recommendations to the Board from time to time.
(ii) Oversee Corporate Social Responsibility and Sustainability related issues.
(iii) Review the Structure/Charters of other Board Committees and make suitable recommendations to the Board from time to time.
(iv) Recommend best practices and standards in any particular area to the Board of Directors as per its mandate.

(d) Meetings: During the year, the Committee did not meet.

C. GOVERNANCE BY MANAGEMENT

OTHER DISCLOSURES:

Related Party Transactions:

During the year 2012-13, no materially significant related party transactions were entered into by the Company with the Directors or management or their relatives that may have a potential conflict with the interest of the Company at large. The transactions with subsidiaries were at arm's length. Notes to accounts 3.18 of the Financials as at March 31, 2013 contains a list of related party relationships and transactions as required by the Accounting Standard-18 on Related Party Disclosures as specified in Companies (Accounting Standards) Rules, 2006.

Disclosures regarding the appointment or re-appointment of Directors:

During the year, Mr. Yusuf Lanewala was appointed as the Non-Executive Independent Director on the Board of Directors of the Company w.e.f. February 13, 2013. Upon resignation of Mr. Wayne Berkowitz, Mr. Yusuf Lanewala was appointed as the Managing Director and Group CEO of the Company w.e.f. June 11, 2013.

The Board of Directors of the Company has appointed Mr. Jagdish Malkani as Non-Executive Independent Director with effect from August 08, 2013 under the casual vacancy caused by the resignation of Mr. Wayne Berkowitz. Mr. Malkani shall hold office up to the date to which Mr. Berkowitz (Director in whose place he was appointed) would have held office if it had not been vacated by him.

Further, Mr. Indresh Narain resigned as Director w.e.f. November 09, 2012. Mr. Wayne Berkowitz, Managing Director and CEO also resigned from the Board of the Directors of the Company w.e.f. June 11, 2013.

According to the Article 112 of the Articles of Association of the Company, one third of the Directors retire by rotation and if eligible, seek re-appointment at the shareholders annual meeting. Mr. Narayan A. Menon will retire by rotation in the ensuing AGM. The Board has recommended his re-appointment and has sought shareholders' approval provided in the Notice convening the AGM.

Details of non-compliance by the Company, penalties, and strictures imposed on the Company by Stock Exchanges or Securities and Exchange Board of India ('SEBI') or any statutory authority, on any matter related to capital markets, during the last three years:

No penalties have been imposed on the Company by the Stock Exchange or SEBI or any other statutory authority on any matter related to capital market during the last three years.

COMPLIANCE CERTIFICATES:

Certificate on Corporate Governance:

As required under Clause 49 of the Listing Agreement, the Auditor's Certificate is obtained and provided in the Annual Report.

CEO and CFO Certificate:

The Certificate given by the Managing Director & CEO and Financial Controller as per Clause 49 in the prescribed format also form part of this Annual Report.

Code of Conduct and Business Ethics:

In compliance with Clause 49 of the Listing Agreement, the Company has adopted a Code of Business Conduct and Ethics for Directors and Senior Management of the Company and its subsidiaries. All members of the Board and Senior Management Personnel have affirmed compliance with the Company's Code of Conduct and Business Ethics. A copy of the said Code of Business Conduct and Ethics is available on our website www.mindteck.com.

Risk Management:

The Company has laid down systems to inform Board members about the risk assessment and minimization procedures. A risk Committee consisting of Senior Management oversees the risk assessment and mitigation of risk. Risk Charters for all functions have been developed and risk note is presented to the Board periodically. Thus, there have been deliberate efforts made to identify the risk exposure of the organization and mitigation therein in light of the identified risk appetite of the organization.

The risks and Company's mitigation strategies are fully described in the risk management section and these procedures are periodically reviewed by the Board of Directors to ensure effective controls.

Compliance with laws:

Mindteck believes in commitment to values and compliance of laws which are the hallmarks of good corporate governance. Legal Compliance Management at Mindteck transcends to using compliances as a yardstick to measure and manage business risks to maximize shareholder value. The Board periodically reviews the status of compliance and the Company continuously aims to be compliant of all applicable laws at all times.

Management Discussion and Analysis:

A Management Discussion and Analysis Report has been included in the Annual Report.

Subsidiaries:

The Company has no Indian non-listed subsidiary. The statement pertaining to Section 212 of the Companies Act, 1956 contains details about the subsidiary companies of Mindteck (India) Limited.

Compliance with mandatory and non-mandatory requirements under Clause 49 of the listing agreement:

The Company has disclosed all the mandatory requirements under clause 49 of the listing agreement. Among the non-mandatory requirements of Clause 49 of the listing agreement, the Company has set up Corporate Governance Committee, HR & Compensation Committee and has a Whistle Blower policy in place.

Policies and Best Practices:

In our endeavor towards good corporate governance, we have formulated various policies and procedures to maintain transparency, professionalism and accountability in the organization.

Code of Corporate Disclosure Policy:

In pursuance to Clause 12(2) of Chapter IV of SEBI (Prohibition of Insider Trading) Regulations, 1992 as amended by the SEBI (Insider Trading) (Amendment) Regulations, 2002, the Company has adopted a Code for Corporate Disclosure Practices for timely, appropriate and adequate disclosure of price sensitive information. The Company, through this policy, provides investors with direct access to analyst briefing material, significant background information and questions and answers on its website.

Board Charter:

Mindteck believes that corporate governance as a discipline leads to effectiveness and transparency in the functioning of any corporate entity. Towards this end, Mindteck has adopted a Board Charter which clearly defines the mission, role, structure, responsibilities and operations of the Board of Mindteck and its delegation of authority to management.

Mindteck Code of Conduct for Prohibition of Insider Trading:

Pursuant to Regulation 12 of the SEBI (Prohibition of Insider Trading) Regulations, 2002, the Company has formulated the 'Mindteck Code of Conduct for Prohibition of Insider Trading' for regulating and preventing designated persons [as defined in the SEBI (Prohibition of Insider Trading) Regulations, 2002] from using unpublished price sensitive information to their advantage. The Company Secretary of the Company is the Compliance Officer for the purpose of this Code of Conduct and maintains a record of the designated persons. No designated person of the Company has violated this Code and no unpublished price sensitive information has been communicated or used by them.

Whistle Blower:

The Company has adopted a Whistle Blower Policy and has established the necessary mechanism in line with Clause 49 of the Listing Agreement with the Stock Exchanges, for employees to report concerns, alleged wrongful conduct, including unethical behavior, financial irregularities, sexual harassment infringement and misuse of Intellectual Property. It also provides protection against victimization of employees who avail of the mechanism and also allows direct access to the Ethical Committee and the Audit committee. The policy is displayed on the intranet of the Company.

Software Development Centers:**Bengaluru:**

- Prestige Atlanta, No.10, Industrial Layout
7th Main, 80 Feet Road, 3rd Block
Koramangala, Bengaluru – 560 034, India

Kolkata:

- Millennium Towers
Unit: T-29C, Tower II, Level IX, Plot No. 62, Block DN
Sector V, Salt Lake, Kolkata – 700 091, India

Enola:

- 1828 Good Hope Road
Suite 201, Enola, PA 17025, US

Singapore:

- 7B Keppel Road
#05-09 PSA Tanjong
Pagar Complex, Singapore 089055

Investor Contacts:**Registered Office Address for correspondence:****Mindteck (India) Limited**

Prestige Atlanta, No.10, Industrial Layout
7th Main, 80 Feet Road, 3rd Block
Koramangala, Bengaluru – 560 034, India

Tel: 91 80 4154 8000; Fax: 91 80 4112 5813

For additional information on the Company, refer to website: www.mindteck.com

For queries relating to financial statements:**B.V. Ramesh**

Financial Controller

Tel: 91 80 4154 8000 Extn. 8005

E-mail: ramesh.venugopal@mindteck.com

For queries relating to shares/dividend/compliance:**Shivarama Adiga S.**

Associate Vice President, Legal & Company Secretary

Tel: 91 80 4154 8000 Extn. 8013

Email: shivarama.adiga@mindteck.com

Address of Registrar and Transfer Agents:**M/s. Universal Capital Securities Pvt. Ltd.**

(Formerly M/s. Mondkar Computers Pvt. Ltd)

21, Shakil Niwas, Opp. Satya Saibaba Temple

Mahakali Caves Road, Andheri (East), Mumbai - 400 093, India

Contact: Santosh Gamare

Tel: 91 22 28207203-05, Fax No: 91 22 28207207

Email: gamare@unisec.in

Addresses of Regulatory Authority/Stock Exchanges:**Securities and Exchange Board of India (SEBI)**

Plot No. C4-A, G Block, Bandra Kurla Complex

Bandra (East), Mumbai 400 051, India

Tel: 91 22 2644 9000/4045 9000

Fax: 91 22 26449016/20

Email: sebi@sebi.gov.in

Registrar of Companies, Karnataka

'E'Wing, 2ND FLOOR

Kendriya Sadana, Koramangala

Bengaluru – 560 034, India

Tel: 91 80 25633105 (Direct)

91 80 25537449/91 80 25633104

Fax: 91 80 25538531

E-mail: roc.bangalore@mca.gov.in

Bombay Stock Exchange Limited

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai – 400 001, India

Phone: 91 22 2272 1233/4, 91 22 66545695

Fax: 91 22 22721919

Depository for Equity Shares-India:**National Securities Depository Limited**

Trade World, A Wing, 4th and 5th Floors

Kamala Mills Compound, Senapathi Bapat Marg

Lower Parel, Mumbai – 400 013, India

Tel: 91 22 2499 4200

Fax: 91 22 24976351

Email: info@nsdl.co.in

Central Depository Services (India) Limited:

17th floor, Phiroze Jeejeebhoy Towers

Dalal Street, Fort, Mumbai 400 001, India

Tel: 91 22 22723333

Fax: 91 22 22723199

Email: helpdesk@cdslindia.com

D. INFORMATION FOR SHAREHOLDERS**Corporate Profile:**

Mindteck (India) Limited was incorporated in Mumbai in 1991 as Hinditron Informatics Limited under the Companies Act, 1956. We changed our name to Mindteck (India) Limited in September, 1999. Later on, in the year 2006, the registered office of the Company was shifted from Mumbai to Bengaluru. The CIN of the Company is L30007KA1991PLC039702 and the address of our registered office is Prestige Atlanta, No.10, Industrial Layout, 7th Main, 80 Feet Road, 3rd Block, Koramangala, Bengaluru-560 034, Karnataka, India.

Forthcoming Annual General Meeting (AGM):

AGM for the year 2012-13 is scheduled on Friday, September 27, 2013 at 11.30 A.M. at Hotel Woodlands, "Chandani Hall" No-5, Rajaram Mohan Roy Road, Bengaluru-560 025.

Location and time of last three AGMs held:

Table No. 07		
Date of AGM	Time of AGM	Location
August 11, 2010	4.00 PM	Redwood, Hotel Royal Orchid Central, Manipal Centre, 47/1, Dickenson Road, Bengaluru-560 042
September 22, 2011	3.00 PM	Redwood, Hotel Royal Orchid Central, Manipal Centre, 47/1, Dickenson Road, Bengaluru-560 042
August 07, 2012	3.00 PM	St. Marks Hotel, 4/1, St. Marks Road, Bengaluru-560 001

The following special resolutions were passed by the Company in its last three Annual General Meetings:

Table No. 08	
August 11, 2010	No Special Resolution passed
September 22, 2011	Issue of Equity Shares to shareholders of Chendle Holdings Ltd.
August 7, 2012	Issue and Allot 64,299 Equity Shares to Independent Shareholder of Chendle Holdings Ltd.

There was no postal ballot taken during the year and no special resolutions were passed through the postal ballot procedure.

Financial Calendar: April 1, 2012 to March 31, 2013

Book Closure dates for the forthcoming AGM:

September 23, 2013 to September 27, 2013 (both days inclusive).

Your Company's equity shares are listed on the Bombay Stock Exchange Limited (BSE) as at March 31, 2013 and Scrip code is 517344.

An Annual Listing fee for the year 2013-14 (as applicable) has

been paid by the Company to the Bombay Stock Exchange. The Annual Custodial fee for the year 2013 -14 (as applicable) has been paid by the Company to NSDL and CDSL.

Share Transfer System:

The Company's Registrars and Share Transfer agent, M/s. Universal Capital Securities Pvt. Ltd. (formerly Mondkar Computers Private Limited), processes shares sent for transfer/transmission, etc. in two batches every month and ensures that

the share transfers/transmissions, etc. are effected within stipulated time. Transfers/transmissions which are complete in all respects are processed and the certificates in respect thereof are returned to the lodger/shareholder within 15 days of lodgments.

Secretarial Audit:

As per the requirements of clause 47 of the Listing Agreement and as a measure of good corporate governance practice, the Company has appointed Mr. Rajnikant Shah, Practicing Company Secretary, to undertake the reconciliation of the share capital of the Company and submit a report to the BSE. The audit reconciles on a quarterly basis, the total admitted capital with National Securities Depository Limited (NSDL) and Central Depository Services (India) Limited (CDSL) with the total issued and listed capital of the Company. The audit has confirmed that the total issued/paid up capital is in agreement with the aggregate total number of shares in physical form and the total number of dematerialized shares held with NSDL and CDSL.

Dematerialization of shares and liquidity:

The Company's shares are compulsorily traded in dematerialized form and are available for trading on both the depositories in India viz. National Securities Depository Limited (NSDL) and Central Depository Services (India) Limited (CDSL). Equity Shares of the Company representing 98.17% of the Company's equity share capital are dematerialized as on March 31, 2013. The Company continues to facilitate requests for dematerialization of shares on a regular basis and the request can be routed through our RTA agent M/s. Universal Capital Securities Private Limited (formerly Mondkar Computers Private Limited). Under the Depository system, the International Securities Identification Number (ISIN) allotted to our shares is INE110B01017.

Investors' complaints

Table No. 09

Name of the Complaint	2012-13		2011-12	
		Attended	Received	Attended
No. of investor issues	Nil	Nil	3	3
No. of legal cases in the matter	Nil	Nil	Nil	Nil

There are no legal proceedings related to disputes in the matter of Shares of the Company.

Shareholding Pattern as on March 31, 2013:

Table No. 10

Sl. No.	Particulars	No. of shares	No. of shares
1.	Shareholding of Promoter and Promoter Group	16,169,857	64.85
2.	Bodies Corporate	112,287	0.45
3.	Institutions	25	0.00
4.	Individuals	1,222,203	4.90
5.	NRI/OCBs	2,199,099	8.82
6.	Clearing Members	7,647	0.03
7.	Foreign National	98,783	0.40
8.	Foreign Corporate Bodies	3,790,415	15.20
9.	Foreign Bank	0.00	0.00
10.	Mindteck Employees Welfare Trust	416,000	1.67
11.	Mindteck Investors Trust	916,455	3.68
	Total	24,932,771	100.00

Shareholders holding more than 1% of the Company (other than promoters of the Company):

Table No. 11

Sl. No.	Name of the shareholders	No. of shares	% of holding
1.	Banco Efisa S.A.	2,726,668	10.94
2.	Infotech Ventures Ltd.	261,747	1.05
3.	Tadhamon International Islamic Bank	802,000	3.22
4.	Mahesh Tharani	320,149	1.28
5.	Pankaj Agarwal	1,198,780	4.81
6.	Mindteck Employees Welfare Trust	416,000	1.67
7.	Mindteck Investors Trust	916,455	3.68

Distribution of Shareholding as on March 31, 2013:

Table No. 12	As on March 31, 2013				As on March 31, 2012			
Range	Shareholders		Shares		Shareholders		Shares	
No. of Shares	Numbers	% to Total	Numbers	% to Total	Numbers	% to Total	Numbers	% to Total
1 – 500	6,990	95.32	460,358	1.85	7,091	95.37	469,202	1.89
501 – 1,000	168	2.29	134,984	0.54	171	2.30	136,262	0.55
1,001 – 2,000	65	0.89	93,221	0.37	65	0.88	94,857	0.38
2,001 – 3,000	27	0.37	65,216	0.26	25	0.34	60,735	0.24
3,001 – 4,000	18	0.25	64,116	0.26	19	0.26	68,771	0.28
4,001 – 5,000	9	0.12	40,931	0.16	7	0.09	31,100	0.12
5,001 –10,000	25	0.34	189,940	0.77	27	0.36	209,044	0.84
10,001 & above	31	0.42	23,884,005	95.80	29	0.39	23,798,501	95.70
Total	7,333	100.00	24,932,771	100.00	7,434	100.00	24,868,472	100.00

Unclaimed Dividend:

Section 205 of the Companies Act, 1956, mandates that companies transfer Dividend that has been unclaimed for a period of seven years from Unpaid Dividend Account to the Investor Education and Protection Fund (IEPF). In accordance with the following schedule, the Dividend for the years mentioned as follows, if unclaimed within a period of seven years, will be transferred to IEPF.

Table No. 13		Dividend Year	Type of Dividend	Dividend Rate	Date of Declaration	Due date for transfer to IEPF	Amount Unclaimed ⁽¹⁾ Rs.
		2005-06	Final Dividend	10%	28/08/2006	01-10-2013	66,857.00
		2006-07	Final Dividend	10%	28/09/2007	01-11-2014	83,650.00
		2007-08	Final Dividend	5%	30/07/2008	03-09-2015	46,242.00

⁽¹⁾Amount unclaimed as at August 08, 2013

The Shareholders may write to M/s. Universal Capital Securities Pvt. Ltd before due dates to claim their unclaimed dividend. Shareholders are cautioned that once unclaimed dividend is transferred to IEPF account, no claim shall lie in respect thereof with the Company. The statement of unclaimed dividend as on March 31, 2013, as prescribed under Form 5 INV, has been posted on the website of the company.

In accordance with the above provision, during the current year Rs. 125,726.80 was credited to the Investor Education and Protection Fund Account.

Communication to the Shareholders:

(i) Quarterly Results:

The Company has published its quarterly financial results in the Financial Express (English) and Udayavani (Bengaluru Edition - Kannada) newspapers during the year ended March 31, 2013. The results have also been submitted to the Bombay Stock Exchange where the Company's equity shares are listed and posted on the Company's website (www.mindteck.com).

(ii) News Releases and Presentations:

Official news releases, detailed presentations made to media, analysts, etc. are displayed on the Company's web site: www.mindteck.com

(iii) Website:

The Company's web site www.mindteck.com contains a separate dedicated section "Investors" where all the shareholders' information is available, along with the full Annual Report of the Company.

(iv) Annual Report:

The Annual Report of the Company containing the annual audited financial statements, both standalone and consolidated, along with the Auditors' Report thereon, the Director's Report, Management Discussion and Analysis Report and other important information, is circulated to the shareholders of the Company holding shares in physical format. We have also sent soft copies of the Annual Report, along with all the above listed documents, to all the investors whose email ID is registered/made available to us as per the guidelines of the "Green Initiative" instituted by Ministry of Corporate Affairs.

(v) Soft Copies:

The Ministry of Corporate Affairs (MCA) has taken a "Green Initiative in Corporate Governance" (Circular No. 17/2011 dated 21.04.2011 and Circular No. 18/2011 dated April 29, 2011) by allowing paperless compliances by Companies through electronic mode. Thus, Companies

are now permitted to send various notices/documents, including Annual Reports, to its shareholders through electronic mode. We request all shareholders to be a part of this "Green Initiative" by updating their email IDs for all future correspondence with their respective DPs (for shares held in Demat form) or email IDs of our RTA agents, viz. Universal Capital Securities Private Limited by sending

a mail to mindteck.investors@uniseq.in or to the Company Secretary – shivarama.adiga@mindteck.com. The soft copy of the Annual Report will be made available on the website of the Company. You can also opt for a physical copy by writing to shivarama.adiga@mindteck.com. If not opted, it is deemed to be accepted to send a soft copy through e-mail.

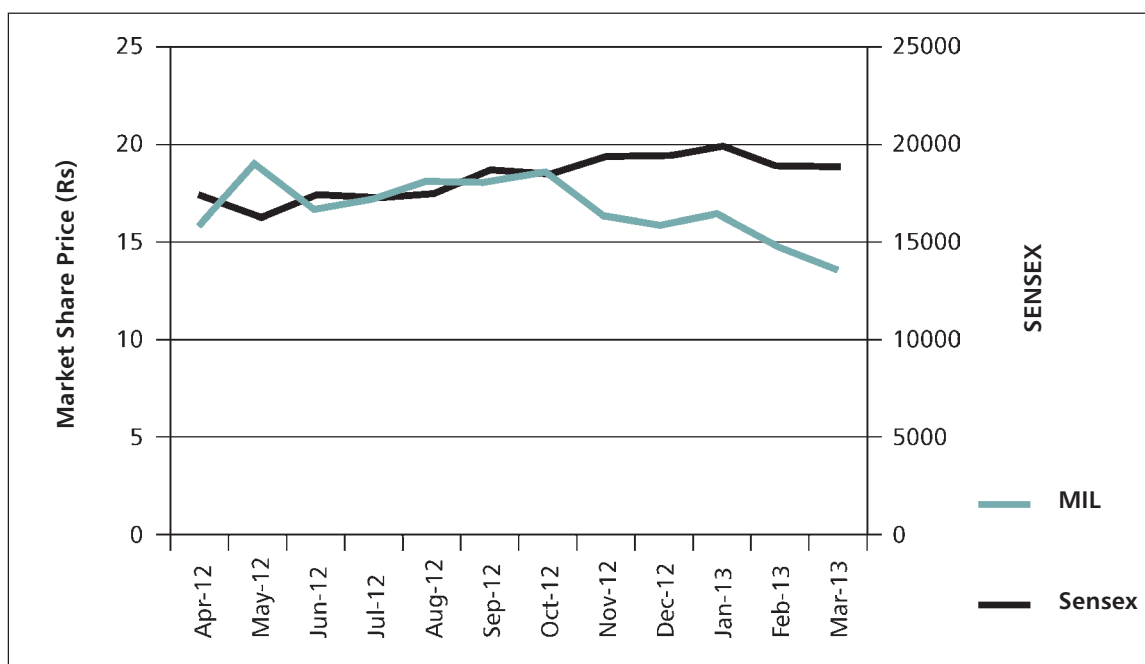
Market Price Data: High/Low of Company's equity shares on the Bombay Stock Exchange, Mumbai during each month in the year ended March 31, 2013:

Table No. 14	Sensex		Share Price		Trade	
Month	High	Low	High Rs.	Low Rs.	No. of shares traded	Value Rs.
April 2012	17,664.1	17,010.16	19.40	14.95	14,973	243,275
May 2012	17,432.33	15,809.71	19.40	15.55	13,628	225,889
June 2012	17,448.48	15,748.98	20.25	16.90	10,978	197,659
July 2012	17,631.19	16,598.48	19.00	17.50	13,996	253,002
August 2012	17,972.54	17,026.97	18.40	15.70	3,361	56,733
September 2012	18,869.94	17,250.8	19.10	16.85	9,066	162,749
October 2012	19,137.29	18,393.42	19.35	17.00	7,389	132,501
November 2012	19,372.70	18,255.69	19.40	16.50	5,862	102,763
December 2012	19,612.18	19,149.03	18.15	15.50	10,245	167,578
January 2013	20,203.66	19,508.93	17.25	15.05	26,368	419,792
February 2013	19,966.69	18,793.97	17.80	14.40	4,548	72,296
March 2013	19,754.66	18,568.43	14.80	12.40	7,267	96,363

Performance in comparison to broad-based BSE Index and BSE IT Index:

Table No. 15	Month	Closing share price on month's last trading day (Rs.)	BSE Index	BSE IT Index
	April 2012	16.30	17,318.81	5,704.31
	May 2012	19.40	16,218.53	5,666.08
	June 2012	17.10	17,429.98	5,765.16
	July 2012	17.60	17,236.18	5,345.02
	August 2012	18.40	17,429.56	5,741.96
	September 2012	18.65	18,762.74	5,922.64
	October 2012	18.85	18,505.38	5,718.69
	November 2012	16.70	19,339.9	5,888.42
	December 2012	16.35	19,426.71	5,684.08
	January 2013	17.00	19,894.98	6,393.63
	February 2013	15.25	18,861.54	6,754.33
	March 2013	14.00	18,835.77	6,885.46

Performance of Mindteck shares in comparison to BSE Index:



(Source data: www.bseindia.com)

On behalf of the Board of Directors

Bengaluru, India
Date: August 08, 2013

Yusuf Lanewala
Managing Director & Group CEO

DECLARATION REGARDING COMPLIANCE BY BOARD MEMBERS AND SENIOR MANAGEMENT PERSONNEL WITH THE COMPANY'S CODE OF CONDUCT

This is to confirm that the Company has adopted a Code of Business Conduct and Ethics for its Senior Management including the Managing Director and Non-Executive Directors. I confirm that the Company has in respect of the financial year ended March 31, 2013, received from the Senior Management Team of the Company and the Members of the Board a declaration of compliance with the Code of Business Conduct and Ethics as applicable to them.

On behalf of the Board of Directors

Bengaluru, India
Date: August 08, 2013

Yusuf Lanewala
Managing Director & Group CEO